

NVIDIA Corporation

NVDA NASDAQ

Buy	\$230.36 ▲ 0.84%	12M Price Target \$275.00	52-Week Range \$164.27 – \$236.54	Market Cap \$5.56T
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NVDA: Grinding to New Highs as AI Capex Cycle Extends

WHAT HAPPENED

- NVDA quietly grinding higher — up 4.3% over the last week and sitting at 91% of its 52-week range. That's not euphoria, that's steady institutional accumulation, which usually happens when big funds see a clear catalyst on the horizon (think AI budget announcements or fresh hyperscaler capex guidance).
- Director Mark Stevens dumped \$200M+ in stock on Sept 2 — sounds scary but this is almost always a pre-scheduled 10b5-1 sale (meaning the trades were programmed months ago at set prices, not a reaction to bad news). Worth noting, not worth panicking over.

WHY IT MATTERS

The options flow is telling a really interesting story — massive call buying at \$235 (88K contracts, nearly 10x the existing open interest) alongside big put buying at \$230 and \$232.50. Translation: smart money is positioning for a big move, and given we're pinned near the highs, this looks like traders betting on a breakout while hedging just in case. The tech sector leading (+0.86% on 5D) while defensives like Real Estate and Materials get sold tells you money is rotating INTO growth/AI, not away — that's a tailwind. Bottom line: the setup favors upside, but expect volatility around the \$235 level where all those call strikes cluster.

POLICY & POLITICAL WATCH

The big overhang remains US-China export controls — the Commerce Department's H20 chip rules and the 15% revenue-share arrangement on China AI chip sales are the swing factor for FY27 numbers. On the tailwind side, the CHIPS Act 2.0 discussions and the administration's "AI Action Plan" push for domestic AI dominance directly benefit NVDA as the default supplier for federal/sovereign AI buildouts (Stargate, DOE labs, DoD). Watch for any September Congressional movement on the AI infrastructure permitting bill — faster data center approvals = faster GPU deployment = more NVDA orders.

IS IT EXPENSIVE?

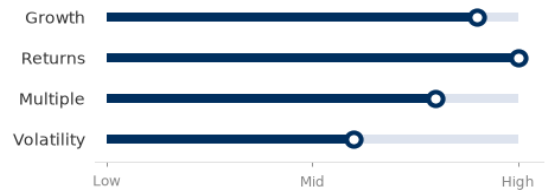
At ~\$5.56T market cap and roughly 39x forward earnings, NVDA isn't cheap — you're paying \$39 for every \$1 of next year's profit. But when a company is growing revenue 50%+ and has 75% gross margins (meaning they keep 75 cents of every dollar of sales), that multiple is actually reasonable compared to software peers trading at 40-50x with slower growth. The real question isn't "is it expensive" — it's "does hyperscaler capex keep growing," and right now every signal from Microsoft, Meta, Google, and Amazon says yes.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$230.36
12M Price Target	\$275.00
Upside / (Downside)	+19.4%
Market Cap	\$5.56T
FY2027E Revenue	\$235M
FY2028E Revenue	\$295M
FY2027E EPS	\$5.85
FY2028E EPS	\$7.40
Fwd P/E	39.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$245.00	\$235.00	\$215.00
6 Months	\$275.00	\$250.00	\$200.00
1 Year	\$310.00	\$275.00	\$190.00
2 Years	\$400.00	\$320.00	\$180.00
5 Years	\$600.00	\$425.00	\$200.00
10 Years	\$900.00	\$550.00	\$220.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+0.86% 5D) — leadership continues as AI capex narratives strengthen and Fed rate-cut expectations lift growth multiples. Utilities quietly bid (+0.82%) as the "AI = massive power demand" trade keeps working.

COOLING OFF: Materials (-1.39%) and Real Estate (-1.24%) — classic defensive/cyclical weakness suggests investors don't fear a recession right now, they want growth exposure.

ROTATION WATCH: Money is flowing OUT of financials and rate-sensitive sectors INTO tech and AI infrastructure. That's exactly the setup NVDA thrives in.

RELATED PLAY: If you believe the NVDA thesis, the power/cooling/data center picks-and-shovels names (VRT, ETN, GEV, and even the nuclear names like CEG) are the second derivative — they benefit whether NVDA or a competitor wins the chip war.

WHO'S WINNING IN THIS SPACE?

- DELL (Dell Technologies): Cramer flagged aggressive buying today — AI server demand is the tell, and Dell is a direct NVDA customer
- AVGO (Broadcom): Custom AI accelerator momentum with hyperscalers, riding the same wave from a different angle

NVDA CONTEXT: NVDA is leading, not lagging — 91% of 52-week range with tech sector strength confirms it's the horse pulling the AI cart. When the leader keeps making new highs on healthy volume, you stay long until proven otherwise.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — This is still the cleanest way to play AI infrastructure, and the policy environment is a net positive despite China noise.

POSITION SIZE: 5-8% as a core holding. It's big enough to matter, small enough that a 20% drawdown doesn't wreck your year.

ENTRY POINTS: Add on pullbacks to \$215-220 (recent support). Don't chase above \$235 into that heavy call strike wall — let it break and hold first.

TIME HORIZON: 12-24 months. Key catalysts: next earnings (Blackwell ramp update), hyperscaler 2027 capex guides, and any China policy resolution.

WHEN TO BAIL: If a major hyperscaler cuts capex guidance meaningfully, or if China export policy escalates to a full ban AND management can't offset with sovereign AI wins.

HEDGING: Simplest hedge — own some semiconductor ETF puts (SOXX) as portfolio insurance, so if the whole AI trade rolls over you're partially protected without having to time the NVDA-specific top.